

Below 1 (green) beats 2SRR-FAVAR; GW two-sided HAC p-value below; \* p<0.10, \*\* p<0.05, \*\*\* p<0.01

|                |                     |                  |                  |                 |
|----------------|---------------------|------------------|------------------|-----------------|
| 2SRR-AR        | 0.94<br>(0.88)      | 0.95<br>(0.77)   | 0.94<br>(0.89)   | 0.99<br>(0.73)  |
| 2SRR-Factor    | 1.00<br>(0.91)      | 1.07<br>(0.07)*  | 1.11<br>(0.47)   | 0.94<br>(0.86)  |
| Ridge-Step1-AR | 0.96<br>(0.58)      | 0.99<br>(0.22)   | 0.97<br>(0.60)   | 0.97<br>(0.41)  |
| AR             | 0.93<br>(0.86)      | 0.94<br>(0.53)   | 0.99<br>(0.49)   | 0.96<br>(0.49)  |
| AR-BIC         | 0.93<br>(0.86)      | 0.94<br>(0.53)   | 0.99<br>(0.49)   | 0.95<br>(0.51)  |
| Random Forest  | 0.87<br>(0.17)      | 0.92<br>(0.14)   | 0.93<br>(0.30)   | 0.94<br>(0.88)  |
| LASSO          | 0.87<br>(0.26)      | 0.95<br>(0.11)   | 0.91<br>(0.20)   | 0.80<br>(0.11)  |
| Elastic Net    | 0.88<br>(0.31)      | 0.93<br>(0.04)** | 0.90<br>(0.15)   | 0.79<br>(0.10)  |
| Adaptive LASSO | 0.96<br>(0.65)      | 1.10<br>(0.86)   | 1.07<br>(0.85)   | 0.97<br>(0.68)  |
| Adaptive Elnet | 0.99<br>(0.97)      | 1.09<br>(0.86)   | 1.06<br>(0.76)   | 0.91<br>(0.60)  |
| Bagging        | 0.88<br>(0.97)      | 1.07<br>(0.21)   | 1.41<br>(0.07)*  | 1.14<br>(0.12)  |
| CSR            | 0.89<br>(0.36)      | 0.95<br>(0.56)   | 1.12<br>(0.27)   | 1.13<br>(0.15)  |
| Factor         | 1.10<br>(0.27)      | 1.21<br>(0.11)   | 1.24<br>(0.41)   | 1.07<br>(0.65)  |
| Target Factor  | 0.96<br>(0.94)      | 0.98<br>(0.78)   | 1.23<br>(0.57)   | 1.08<br>(0.44)  |
| Ridge          | 1.35<br>(0.00)***   | 1.45<br>(0.14)   | 1.38<br>(0.04)** | 1.49<br>(0.08)* |
|                | 1                   | 3                | 6                | 12              |
|                | Horizon (h, months) |                  |                  |                 |

RMSE(model) / RMSE(2SRR-FAVAR)

